



Preparer Academy

Nine modules • Ten weeks • Tax year 2026

Seasonal tax preparer training for the 2027 filing season.

Carter Cole & Associates LLC, DBA Smart Tax IQ • Detroit, Michigan



Training opens 1 October 2026 • Final exam 14-18 December

The ten weeks

Week	Module	Gate
1	M0 Credentials, ethics & data security · M1 begins	PTIN evidenced
2	M1 The 1040, end to end	M1 check
3	M2 Filing status	M2 check
4-5	M3 The Earned Income Tax Credit	M3 check
6	M4 Side hustles and Schedule C	Mid-point review
7	M5 Special situations & the new deductions	M5 check
8	M6 Michigan & Detroit returns	M6 check
9	M7 The software and the client	M7 check
10	M8 Practice lab	—
14-18 Dec	Final exam window	Pass / no seat

EVERY MODULE PASSES AT 70%

Retakes are allowed on the module checks. The final exam is different — filing status and EITC must each score 80%, because that is where the penalties live.

Why the standard is the standard

\$2,600

The due-diligence penalty on ONE return that gets EITC, the Child Tax Credit, the American Opportunity Credit and Head of Household wrong. \$650 for each failure, on returns filed in 2026.

It does not stop with you

- The IRS can assess the firm for your failures
- The firm can be suspended from e-filing altogether
- One careless preparer can end everyone's season

The December gate is not about doubting you. It is that the stakes are genuinely this high.



MODULE 0

Getting Licensed

Before you learn a single line of a tax return: the right to be paid for this, and what happens when it goes wrong.

WEEK 1 • GATE WEEK

Your PTIN — do this first

A Preparer Tax Identification Number is issued by the IRS to YOU, personally. Anyone who prepares, or helps prepare, a federal return for money must have one.

1

\$18.75, about 15 minutes online

IRS Tax Professional portal. Do not use the paper Form W-12 — it takes six weeks.

2

You need a 2027 PTIN

PTINs run by calendar year. You are preparing returns in January 2027.

3

Send your confirmation by Friday

Week 1 assignment. This is a hard gate — no PTIN, no client work.

Per person, not per firm

All five hires register separately. Your PTIN goes on every return you touch, and it stays with you if you ever work somewhere else.

Circular 230 — five rules to live by

1

Due diligence is constant

Not a form you fill in at the end. The questions you ask all the way through.

2

You cannot sign a return you know is wrong

Not "probably fine". Not "the client insisted".

3

Your fee is never a share of the refund

If a client offers you a cut, the answer is no.

4

Keep your records — three years

We will show you where and how.

5

Do not overstate what you are

You are a tax preparer, not an Enrolled Agent or a CPA. You cannot represent someone in an audit.

Client information

- Never on personal email, personal cloud storage, or an unlocked phone
- Working from home? Only on the device the firm has approved — and lock it when you step away
- Never discuss a client's return where anyone can overhear, including family
- You will read and sign the firm's written security plan before you see a real client file

IF SOMETHING GOES WRONG

Lost a device, or sent a file to the wrong person? Tell your trainer within the hour. You will not be in trouble for reporting it fast. You will be for hiding it.





MODULE 1

The 1040, End to End

Every return you will ever prepare is this one form. Learn its shape and everything afterwards has somewhere to sit.

WEEKS 1-2

A tax return is a story in five movements

1

Who you are

Name, SSN, filing status, who else is in the household

2

What came in

Wages, self-employment, everything else

3

What comes off

Adjustments, then the standard deduction

4

What's owed

The tax, then credits that reduce it

5

What's paid

Withholding and refundable credits. The difference is the refund

USE THIS EVERY TIME

When you meet something new later — a Schedule C, the EITC, a Detroit return — ask which movement it belongs to. It always belongs to one of them.

The W-2, box by box

Box	What it is	Why you care
1	Federal taxable wages	The income figure on the return
2	Federal tax withheld	The main driver of the refund
3 & 5	Social Security and Medicare wages	Often higher than Box 1
12	Coded items	Retirement, health coverage and more
15-17	State wages and withholding	Feeds the Michigan return
18-20	Local wages and withholding	DETROIT. Miss this and you miss a whole return

WHY BOX 1 AND BOX 3 DIFFER

Money put into a 401(k) comes out of Box 1 but not Box 3 — no income tax now, but Social Security tax still applies. A client asking "why does it say I earned two different amounts?" is asking about this.

Who has to file — and who should anyway

Filing status	Standard deduction • TY2026
Single / Married filing separately	\$16,100
Married filing jointly	\$32,200
Head of household	\$24,150
Additional, 65+ or blind (unmarried)	\$2,050

The more important point

Plenty of people who don't HAVE to file absolutely SHOULD.

Someone who earned \$9,400 with two children isn't required to file — and may be owed several thousand dollars, because refundable credits only come back if a return is filed.

Telling them they don't have to file, and leaving it there, is the wrong answer.



MODULE 2

Filing Status

One decision, made in the first two minutes of the interview, that changes more money than almost anything else on the return.

WEEK 3

The rule that settles a third of all questions

Marital status is decided on 31 December.

Not on average over the year. Not when they separated.

Divorced 30 December

Unmarried for the whole year.

Married 30 December

Married for the whole year.

Head of Household — three tests, all required

1

Unmarried on 31 December

Or "considered unmarried" — the next slide.

2

Paid more than half the cost of keeping up the home

For the whole year.

3

A qualifying person lived with them more than half the year

And a qualifying person must be a RELATIVE.

ONE EXCEPTION WORTH MEMORISING

A dependent parent is a qualifying person even if they do not live with your client — as long as your client pays more than half the cost of the parent's home. A parent in a care home still counts.

Cost of keeping up a home

COUNTS

Rent or mortgage interest, property taxes, insurance, utilities, repairs, food eaten in the home

DOES NOT COUNT

Clothing, education, medical care, holidays, or their own labour around the house

“Considered unmarried” — all five must be true

- They file a separate return
- They paid more than half the cost of the home
- Their spouse did NOT live in the home at any point during the last six months of the year
- The home was their child's main home for more than half the year
- They can claim that child as a dependant

THIS IS WHERE IT IS WON OR LOST

The six-month rule catches people out constantly. A spouse who moved out in SEPTEMBER was in the home in July — that fails. The client is Married Filing Separately, whatever they were told last year and however certain they are.

So ask for the DATE they left. And write it down.

The situation

Denise lived with her boyfriend for all of 2026.

She paid the entire rent and every utility bill. He contributed nothing.

They have no children together, and he is not related to her.

What is her filing status?

Answer

Single.

She passes test 2 easily — she paid everything. But test 3 fails.

A qualifying person for Head of Household must be a **RELATIVE**. An unrelated partner can sometimes be claimed as a dependant, but someone who qualifies only by living in the home never makes your client Head of Household.

Common trap

Seeing “supported another adult, paid all the bills” and reaching for HOH. Paying is test 2. Test 3 is a different question entirely.

The situation

Marcus's divorce was finalised on 18 December 2026.

His nine-year-old daughter lived with him all year, and he paid every bill in the house.

Answer

Head of Household.

Status is set on 31 December, so Marcus is unmarried for the whole year — even though he was married for eleven and a half months of it.

He paid more than half the cost, and a qualifying child lived with him more than half the year. All three tests met.

Common trap

Treating him as married because he was married for most of the year.

The situation

Angela's husband moved out on 12 September 2026 and has not been back.

Their son lived with Angela all year and she pays the mortgage.

She is certain she qualifies as Head of Household because “he's gone”.

Answer

Married filing separately.

Angela was still married on 31 December, so she needs “considered unmarried”. Her husband lived in the home during the last six months — July, August and half of September. That test fails.

Her options are MFS, or MFJ if he will sign.

Common trap

The client's certainty. Ask for the date.

The situation

Ruth is 58, unmarried, and has raised her seven-year-old grandson since 2023.

He lives with her full time and she supports him entirely.

Answer

Head of Household.

A grandchild is a descendant of Ruth's child, so the relationship works. He lived with her all year and she paid more than half the cost.

More importantly: Ruth should also be screened for the EITC and the Child Tax Credit.

Common trap

Grandparents raising grandchildren are routinely entitled to far more than they claim — usually because nobody asked.



MODULE 3

The Earned Income Tax Credit

The largest credit most of our clients will ever claim, the most audited item on the return, and the one that carries the penalty.

WEEKS 4-5 • THE BIG ONE

What “earned” means

IS earned income

Wages • Salary • Tips • Net profit from self-employment

Is NOT

Unemployment • Social Security • Child support • Alimony
• Pensions • Investment income

Three things that kill the credit outright

- Anyone on the return without a valid Social Security number
- Investment income over \$12,200 — over by a single dollar and the whole credit is gone. There is no tapering
- The client is themselves someone else's qualifying child

The four tests — R-A-R-J

R

Relationship

Son, daughter, stepchild, foster child, sibling, half or step sibling — or a descendant of any. Grandchildren, nieces and nephews count. A cousin does not.

A

Age

Under 19 and younger than your client; or under 24, a full-time student and younger; or any age if permanently and totally disabled.

R

Residency

Lived with your client IN THE US for more than half the year. School, hospital and military absences still count as living at home.

J

Joint return

The child did not file a joint return — unless purely to claim back withheld tax.

Drill these until they are automatic.

What it is worth - tax year 2026

Qualifying children	Max credit	Income ceiling — single / HOH	Ceiling — joint
None	\$664	\$19,540	\$26,820
One	\$4,427	\$51,593	\$58,863
Two	\$7,316	\$58,629	\$65,899
Three or more	\$8,231	\$62,974	\$70,224

INVESTMENT INCOME LIMIT • \$12,200

Exceed it by any amount and the credit is disallowed entirely. Check it before you promise anything.

These figures change every year. Confirm them against the IRS revenue procedure each October.

When two people claim the same child

- 1 A parent beats a non-parent
- 2 Between two parents — whoever the child lived with for MORE NIGHTS
- 3 If the nights are equal — the parent with the higher income
- 4 If neither is a parent — the higher income, provided it beats any parent who could have claimed

WHAT ACTUALLY HAPPENS AT THE DESK

If the other parent has already filed, your client's return will reject. That is a conversation, not a software problem — and Module 7 gives you the words for it.

Your four due-diligence duties

1

Complete and file Form 8867

With the return. Every time.

2

Compute the credit using the worksheets

And keep them.

3

Knowledge — ask when something does not add up

You may not rely on information you know, or should know, is wrong, inconsistent or incomplete. Make reasonable inquiries and WRITE DOWN what you asked and what they said.

4

Keep the records for three years

NUMBER 3 IS WHERE PREPARERS ACTUALLY GET CAUGHT

The test is simple: does this story hold together?

The situation

Keisha and Terrance aren't married and share custody of their daughter.

In 2026 she stayed with Keisha for seven months and Terrance for five. Both want to claim her.

Terrance earns \$48,000. Keisha earns \$22,000.

Answer

Keisha.

Both are parents, so we go to the second rule: nights. The daughter lived with Keisha longer, so Keisha claims.

Income is irrelevant here — it only matters if the nights are equal.

Common trap

Jumping to income because it is the easier number to get hold of.

The situation

Carl's son turned 19 in March 2026 and lived at home all year, working part time for \$6,200.

Can Carl claim him for EITC?

Answer

It depends entirely on one question you must ask:

Was he a FULL-TIME STUDENT for at least five months of the year?

If yes — under 24, a student, younger than Carl. Age test passes.

If no — he is 19 and not a student. Age test fails. Not a qualifying child.

Common trap

Not asking at all. This single question is worth thousands of dollars — ask it, record the answer, and ask to see the enrolment letter.

The situation

Yolanda's nephew came to live with her in August 2026 when his mother became unwell, and was still there at the end of the year.

Answer

No EITC on the nephew for 2026.

A nephew passes the relationship test. But August to December is five months, and the test is MORE THAN HALF THE YEAR. Residency fails.

He may well qualify next year. This year he does not.

Common trap

Rounding months up to get over the line. More than half the year means more than six months. Write down the month he arrived.

The situation

A new client reports \$13,800 of cash income from house cleaning, no expenses at all, and two qualifying children.

The figure lands right where the credit peaks. She has no records of any kind.

Answer

Ask, document — and be ready to decline.

A cleaning business with zero expenses isn't consistent with how that work is done. There are always supplies, and usually travel.

Ask: how many clients, how often, what do you buy, how do you travel, how did you arrive at that figure? Record the answers.

If they are not credible, you do not sign it.

Common trap

This exact pattern is the most common EITC penalty case there is. If they remember one scenario, make it this one.

Notes that hold up two years later

“14 Feb — asked how many months D. lived with client in 2026. Client said Jan–Aug. Produced school enrolment letter showing client's address. Copy kept.”

Fifteen seconds to write. Settles the whole question later.

Two years from now you will not remember this client. Your note has to. Date it, name who you asked, record what they said, and note what they produced.



MODULE 4

Side Hustles and Schedule C

Rideshare, hair, cleaning, resale, contracting. A growing share of our clients, and where the EITC and self-employment tax collide.

WEEK 6 • MID-POINT REVIEW

The form the money arrived on decides nothing

1099-NEC • 1099-K • App payout • Personal cheque • Cash in an envelope

If the work was a business, it all lands on a Schedule C.

Cash income is reportable whether or not anyone issued a form.

Clients often genuinely do not know this. Say it plainly and without judgement.

SELF-EMPLOYMENT TAX

Employees have Social Security and Medicare withheld and the employer matches it. The self-employed pay BOTH halves. A client who cleared \$9,000 from a side hustle and expected a refund can end up owing — warn them, and start the estimated-payments conversation for next year.

Where Modules 3 and 4 collide

Claiming FEWER expenses can make a client's refund BIGGER.

Net self-employment profit is earned income for the EITC. Clients work this out. Some will ask you directly to leave expenses off.

The answer is no.

You report the expenses that exist. Doing otherwise is a false return, it is a due-diligence failure, and it is exactly what the IRS looks for.

Give them something real instead: they are entitled to those miles, so make sure the log is good enough to survive a challenge.



MODULE 5

Special Situations & New Deductions

Veterans, retirees and the unemployed — plus Schedule 1-A, which is brand new and which our clients are unusually likely to qualify for.

WEEK 7

Veterans, Social Security and unemployment

Benefit	Taxable?
VA disability compensation	NO — do not report it
VA pension	NO
GI Bill education benefits	NO
Military retirement pay	YES

CLIENTS GET THIS WRONG BOTH WAYS

Some report benefits they shouldn't. Others leave off retirement pay they should. Ask specifically which they receive.

Social Security

Taxable on a sliding scale depending on other income — from none of it up to a maximum of 85%. A retiree taking a large IRA withdrawal can accidentally make their Social Security taxable and be surprised twice.

Unemployment

Fully taxable, on a 1099-G. Withholding is optional and most decline it, so a client who was unemployed often owes. And it is NOT earned income — no EITC.

Schedule 1-A — new this year

A recent tax law created four new deductions, claimed on a new form. No preparer anywhere has years of experience with these — you start level with everyone else.

Deduction	Maximum	Phases out above (MAGI)
Qualified tips	\$25,000	\$150,000 • \$300,000 joint
Qualified overtime	\$12,500 • \$25,000 joint	\$150,000 • \$300,000 joint
Senior deduction (65+)	\$6,000 • \$12,000 both	\$75,000 • \$150,000 joint
Car loan interest	Check current cap	—

FOUR THINGS TO REMEMBER

Tips must have been REPORTED to qualify • Overtime means the premium, not all wages in overtime hours • Married clients must file JOINTLY • Ask EVERY client — people do not volunteer information they do not know is worth money.



MODULE 6

Michigan & Detroit Returns

A perfect federal return is half a job. Almost every client who walks through our door also needs a Michigan return, and most need a Detroit one.

WEEK 8

Detroit — three forms, one question

The question is: where did they live?

FORM

5118

Resident

Lived in Detroit all year. All income taxed, resident rate.

FORM

5119

Nonresident

Lived outside, worked in Detroit. Only Detroit-earned income, lower rate.

FORM

5120

Part-year

Moved in or out during the year. Split across both periods.

THE TRAP

No city tax withheld does NOT mean no city return is due. A Detroit resident whose employer didn't withhold still owes it — and will owe it with interest if nobody notices.

The Homestead Property Tax Credit — do not miss this

Renters qualify too.

A refundable Michigan credit for residents whose property taxes are high relative to income — and a portion of rent is treated as property tax.

Put this on every intake sheet

“Did you rent or own in 2026, and how much did you pay?”

The single most commonly missed item for a Detroit client on a modest income. The client will not raise it. You have to.

The situation

Andre lived in Detroit until 31 May 2026, then moved to Southfield.

He worked at the same Detroit employer all year, and his W-2 shows Detroit withholding for the whole twelve months.

Which form — and what should you be looking for?

Answer

Form 5120 — part-year resident.

January to May he was a resident, taxed on everything at the resident rate. June to December he was a non-resident working in Detroit, taxed only on Detroit earnings at the lower rate.

His employer kept withholding at the resident rate all year. So Andre has very likely OVERPAID and is owed a city refund.

Common trap

Filing 5118 for the whole year because the withholding looks like a full-year resident. Ask when he moved — otherwise he loses money and never knows.



MODULE 7

The Software and the Client

Knowing the law is half of it. The other half is the software, the conversation across the desk, and never promising what you cannot deliver.

WEEK 9

The intake interview — ask these every time

- Who lived in your home in 2026, and for how many months?
- Who paid the rent or mortgage and the bills?
- Did anything change — marriage, separation, a birth, a move, a death?
- Any income without a form? Cash work, side jobs, apps?
- Did you rent or own, and how much did you pay?
- Do you get tips or overtime? Are you 65 or over?
- Did anyone else claim your children last year?

**Seven questions.
Three minutes.**

They catch nearly everything. Do not just react to whatever paperwork lands on the desk.

NEVER PROMISE A REFUND DATE

Say: “The IRS usually issues most refunds within 21 days of accepting the return, and returns with certain credits are held a bit longer.”
Promise a date and you own every day it is late — and they will call you, not the IRS.

When a return rejects

What you'll see	What it means
Name or SSN mismatch	Usually a typo, sometimes a name change
Dependant already claimed	Someone else filed first
Missing 1095-A	Marketplace coverage, form not brought in
Prior-year AGI mismatch	An identity check, not a mistake

The sentence you will need most

“Someone else has already claimed your daughter on their return.”

Practise saying it calmly. Explain the tie-breaker rules, find out who else may have claimed, and if your client is entitled we file on paper.

Don't accuse anyone. Don't guess. Get your trainer if it gets difficult.



MODULE 8

Practice Lab

Four complete returns, built from messy piles of paper, the way they actually arrive. Then the final.

WEEK 10

Four full returns

Lab 1

Single parent, two children, one W-2 plus rideshare. Detroit resident, renting. Federal, state, city, EITC, CTC, Homestead.

Lab 2

Separated client whose spouse left in October, one child, disputed status. The right answer is MFS — and you have to say so.

Lab 3

Retired veteran, 68. VA disability, military retirement, Social Security and a part-time tipped job. Schedule 1-A applies.

Lab 4

Grandparent raising two grandchildren, moved out of Detroit in July, small cash cleaning income with partial records.

YOUR FIRST FIFTEEN RETURNS

Every new preparer's first fifteen returns are reviewed before they are transmitted, and review continues until two batches in a row come back clean. This is support, not suspicion — everyone here went through it.

The final exam

14–18 December • two hours • open-book for figures, not for judgement

Part	Covers	Weight	You need
A	Filing status — six fact patterns	30%	80%
B	EITC eligibility — six fact patterns	30%	80%
C	One complete return — federal, Michigan, Detroit	25%	70%
D	Ethics and due diligence	15%	70%

WHY PARTS A AND B NEED MORE

Filing status and the EITC are where the penalties are, where the audits happen, and where the firm's licence is on the line. Being right seven times out of ten is not enough there. An overall pass with A or B below 80% is a FAIL — one retake, seven days later, different fact patterns.



You are not expected to work it out alone.

Ask in the group channel. Ask your trainer. Escalate anything you are unsure about — that is the correct professional response, and nobody here will treat it as a mark against you.